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Nov 2026 preview: divergence

October review: earnings proven, sustainability questioned

In Oct 2026, major global tech stocks underwent a broad-based correction as doubts spread over the profitability and sustainability of AI investment despite memory chipmakers once again posting record-high earnings. Major memory suppliers saw large share price drops, with SK Hynix falling 22.6%, Micron 19.4%, and Samsung Electronics 18.5%. The non-memory camp also suffered, with Intel falling 45.2%, AMID 18.0%, NVIDIA 11.4%, and TSMC 5.6%. We attribute this to: 1) reports of OpenAI's revenue missing estimates and concerns over AI infrastructure funding due to rising global interest rates; 2) China's CXMT announcing progress in next-generation DRAM architecture alongside stock supply/demand dynamics unique to domestic memory makers; and 3) worsening free cash flow at Big Tech firms once again fueling "AI investment skepticism." However, SK Hynix and Samsung Electronics reported record 3Q26 OPs of W83.3tn and W107.4tn, respectively, and October semiconductor exports also reached $56.44bn (+259.4% YoY), maintaining a solid trend in real indicators.

Key November tech events: NVIDIA AI Day Seoul & SC26

At NVIDIA's AI Day Seoul on Nov 9-10, Coupang's Intelligent Cloud session is expected to provide insights into the implementation of agentic commerce, where AI agents handle everything from search and recommendations to ordering and payment. The expansion of always-on inference workloads broadens the demand base for server CPUs and memory. At SC26, to be held on Nov 15-20, a special address by NVIDIA's VP Ian Buck will allow investors to check AI infrastructure demand led by national laboratories and governments worldwide. We believe the diversification of demand, supported by budgets separate from Big Tech capex, will help offset the Big Tech FCF burden highlighted in October.

Global tech earnings watchpoints: AMD, AMAT, & NVIDIA

Key points to watch for in AMD's 3Q26 earnings release on Nov 4 (early morning KST) will be visibility on shipments of MI450 and "Helios," and whether the company maintains its EPYC server CPU guidance calling for 80% growth in 2H26 and over 70% for 2027. Applied Materials' earnings to be released on Nov 13 will provide an opportunity to confirm the 2027 WFE outlook and how equipment industry supply constraints are affecting shipment schedules. Lam Research previously projected that the 2027 WFE would exceed $200bn, but its share price fell more than 10% after supply constraints limited the upper end of its guidance. This suggest that the market is focused on the timing of supply rather than demand. Key points to watch for in NVIDIA's FY3Q27 earnings on Nov 18 will be the performance of its standalone CPU "Vera," the mass production ramp-up speed for Vera Rubin, and contributions from purchase commitments and new demand sources including sovereign AI. A GPU maker's entry into the server CPU market proves that expanding CPU demand from the spread of agentic AI is a structural shift.

(Continued on the next page)

Company	Rating	TP (won)
Samsung Electronics	BUY (M)	690,000 (M)
SK Hynix	BUY (M)	3,700,000 (M)
Hana Materials	BUY (M)	100,000 (M)
Leeno Industrial	Not Rated (I)	- (I)
ISC	Not Rated (I)	- (I)
APact	Not Rated (M)	- (M)
Micron	Not Rated (M)	- (M)
Nvidia	Not Rated (M)	- (M)
AMD	Not Rated (M)	- (M)
Intel	Not Rated (M)	- (M)
TSMC	Not Rated (M)	- (M)
Alphabet	Not Rated (M)	- (M)
Meta	Not Rated (M)	- (M)
Lam Research	Not Rated (M)	- (M)
Applied Materials	Not Rated (M)	- (M)
Microsoft	Not Rated (M)	- (M)
Amazon	Not Rated (M)	- (M)
Oracle	Not Rated (I)	- (I)
Coupang	Not Rated (I)	- (I)
Walmart	Not Rated (I)	- (I)
Shopify	Not Rated (I)	- (I)

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Semiconductor sector investment strategy: time to find grounds to narrow the divergence

The October semiconductor market revealed three “divergences” between earnings and share prices, and between investor concerns and actual fundamentals. We believe November will provide opportunities to assess evidence that could help resolve these divergences, and we expect semiconductor stocks to find their rightful place as the gaps narrow.

The first divergence is between share prices and earnings. While SK Hynix shares fell 22.6% in October, its 4Q26E OP (W118.2tn) is expected to beat market consensus (W88.4tn) by 34%. What drove the October decline were supply/demand factors including liquidation by certain overseas funds, retail redemptions, and outflows from thematic ETFs. Once this selling pressure subsides, large-cap stocks will likely rebound, and we expect this recovery to spread to materials, parts, and equipment stocks. The second divergence is between concerns over the end of bottlenecks and actual supply conditions. The October earnings season instead confirmed supply-side constraints including cleanroom and parts constraints in the equipment industry (Lam Research), wafer and substrate shortages in the CPU camp (Intel, AMD), and slowing growth of latecomer CXMT (+19.3% QoQ). The shift in bottlenecks should be interpreted not as the resolution of memory bottlenecks, but as their spread across AI infrastructure as a whole. The third divergence is between doubts over AI profitability and the broadening of demand. Agentic commerce offers a clue of where the answer may lie. The fact that shopping is the largest use case for Meta’s AI agent, “Muse,” implies that as AI agents evolve to handle purchasing and booking on behalf of users, always-on inference workloads and demand for server CPUs and DRAM will expand.

For the memory industry, we maintain our overweight rating based on the structural super squeeze set to persist through 2028. CXM plans to launch 4F²-based DRAM at end-2026, but we believe mass production at a meaningful scale will be very difficult, with its impact on supply/demand also likely to be extremely limited. We estimate Samsung Electronics’ (005930 KS) 4Q26 OP at W137.3tn, exceeding consensus by 18.4%, with its next shareholder return policy in late-January 2027 likely to provide additional momentum. SK Hynix (000660 KS) will likely see a crossover where HBM4 surpasses HBM3E in both shipments and revenue portion, and the company should have ample room to expand its shareholder return with OP forecast to nearly double in 2027. We maintain BUY on both firms, and keep our respective target prices of W690,000 and W3,700,000 unchanged.

In non-memory and materials, and parts and equipment stocks, we highlight Leeno Industrial (058470 KS) and ISC (095340 KS) as key beneficiaries of expanding CPU demand, which is set to be reaffirmed as NVIDIA follows Intel and AMD into the server CPU market in earnest. We also favor Hana Materials (166090 KS), which is poised to benefit from expanding memory investments including Samsung Electronics’ 2027 capex of W108.0tn (+28%). Finally, we identify APact (200470 KS) as a beneficiary of growing outsourcing demand, which should stand out further as conventional memory bit growth expands while internal backend capacity is cannibalized by full-scale HBM4 shipments.

Oct 2026 review

1. Share price performance of major global tech firms

In Oct 2026, major global tech stocks underwent a steep correction as the market entered the 3Q26 earnings season following September's agentic AI rally. The NASDAQ turned down after posting an all-time high on Oct 6, and on Oct 22, the Philadelphia Semiconductor Index plunged 6.7% in a single day, its largest daily drop since June. The Korean stock market also experienced heightened volatility centered on large-cap semiconductor stocks, with the KOSPI falling more than 7% on Oct 12.

Key memory suppliers suffered, with SK Hynix dropping 22.6%, Micron 19.4%, and Samsung Electronics 18.5%. Major non-memory suppliers also declined, with Intel down 45.2%, AMD 18.0%, and NVIDIA 11.4%, while TSMC saw a relatively limited decline of 5.6%.

We attribute this to: 1) reports of OpenAI's revenue missing estimates and concerns over AI infrastructure funding due to rising global interest rates; 2) China's CXMT announcing progress in next-generation DRAM architecture alongside supply/demand gaps unique to domestic memory makers; and 3) worsening free cash flow at Big Tech firms once again fueling AI investment skepticism.

The first driver of the decline was doubt over AI monetization. On Oct 8, the Financial Times reported that OpenAI's annualized revenue as of end-September had fallen short of previous estimates by around $20bn. Moreover, global bond yields, which rose to multi-year highs, exacerbated concerns over worsening funding conditions for debt-reliant AI infrastructure firms, with the semiconductor sector falling for eight consecutive trading days in mid-October.

The second driver of the decline was concerns over shifts in the memory supply landscape. Over Oct 10-11, China's CXMT stated that it had achieved key progress in developing next-generation DRAM based on $4F^2$ cell architecture, with plans to launch server products at end-2026. Although this is limited to conventional server DRAM rather than HBM, we believe it stirred doubts over the sustainability of supply shortages for conventional DRAM. The unique supply/demand issues affecting Korean memory chipmakers amplified the drop. For SK Hynix, downside support weakened as the share buyback program that had absorbed selling pressure in September concluded in October, compounded by dual listing controversy stemming from its push to list Solidigm in the US. However, with the announcement on Oct 23 that it has halted its review of a Solidigm IPO, related uncertainties were largely resolved.

The third driver of the decline was deteriorating free cash flow (FCF) at Big Tech. Meta's (META) 3Q26 revenue beat market expectations, rising 26% YoY, but the share price fell 7.0% on Oct 22 after the firm recorded its first cash outflow in about a decade due to expanding AI investments. Alphabet (GOOGL) also saw shares drop by 12% on Oct 29, as quarterly capex expanded to $51.3bn and FCF turned to a deficit of $9.1bn, even though Google Cloud revenue grew 103% YoY. Intel's (INTC) 3Q26 revenue and EPS beat consensus, but shares fell 28.6% on Oct 30, as 4Q26 revenue guidance ($15-16bn) and non-GAAP GPM guidance (38.0%) came far below market expectations.

However, 3Q26 earnings reaffirmed the strength of memory industry conditions. SK Hynix posted 3Q26 revenue of W104.6tn (+327.9% YoY) and OP of W83.3tn (OPM 79.7%), beating the top end of the one-month market consensus by 4.7% and 4.1%, respectively. Samsung Electronics also renewed record-high quarterly earnings for a fourth consecutive quarter, with revenue coming to W195.3tn (+126.9% YoY) and OP W107.4tn (OPM 55.0%). Despite the negative impact of won appreciation on both companies (Samsung Electronics about W10tn and SK Hynix about W5-6tn), server-led price increases continued across all applications. DRAM ASP in 3Q26 likely increased 21% QoQ for Samsung Electronics and 26% for SK Hynix. What should be noted is that although Samsung Electronics' HBM4 revenue more than tripled QoQ, HBM still accounted for less than 10% of its DRAM revenue. This implies that most of the earnings improvement came from conventional DRAM price hikes, confirming in numbers the structural supply shortage (super squeeze) of conventional DRAM that we have emphasized.

October trade data released on Nov 1 also reaffirmed the strength of memory industry conditions. Semiconductor exports in October reached $56.44bn (+259.4% YoY), the second-highest monthly figure in history following September ($60.3bn), and accounting for roughly 49% of total exports. DDR5 16Gb contract prices continued to grow from $40 in June to $48 in September and $50 in October, and computer exports including server SSDs came to $5.85bn (+496.6% YoY). Regardless of the October share price correction, real indicators are maintaining a solid trajectory.

Earnings visibility has also improved significantly compared to past cycles. SK Hynix has completed signing LTAs with 14 clients including major global CSPs, and secured LTA volumes represent over 50% of its total 2027-2028 capacity. Given volumes currently under negotiation, DRAM and HBM capacity is virtually sold out through 2029. Samsung Electronics has likewise completed LTAs with 10 major clients, and is negotiating with 10 additional clients, while its 2027 HBM volume is sold out at target price levels. We believe the "solution partnership" model based on supply commitment agreements (SCAs) and multi-year LTAs, which we outlined previously, is taking root in actual contracts. Given that the October share price correction reflects doubts over sustainability rather than worsened fundamentals, we view this period as one that has enhanced valuation attractiveness.

Paradoxically, Intel's weak guidance proves the pricing power of memory suppliers. Intel's guidance for 4Q26 client revenue projected a decline of more than 20% QoQ, pointing to contracting PC demand caused by industry-wide memory shortages and rising prices as the backdrop. On the other hand, data center and AI (DCAI) business revenue posted the highest growth rate in 15 years, coming to $7.3bn (about +80% YoY), with Intel guiding for mid-teen QoQ growth in 4Q26 as well. This implies that the thesis of expanding server CPU demand driven by the spread of agentic AI remains valid. As Google Cloud also confirmed broad customer demand for TPU systems, we believe free cash flow pressures at Big Tech firms are themselves evidence of robust AI hardware demand, providing fundamental downside support in the semiconductor sector.

Nov 2026 preview

1. Key November tech events: NVIDIA AI Day Seoul & SC26

At NVIDIA AI Day Seoul, to be held on Nov 9-10 at COEX in Seoul, the session by Coupang Intelligent Cloud (CIC) is of particular interest. If the session provides insights into how Korea's largest e-commerce platform is implementing agentic commerce, where AI agents handle everything from search and recommendations to orders and payment, it could reinforce our thesis that expanding always-on inference workloads broadens the demand base for server CPUs and memory.

Supercomputing 2026 (SC26) to be held on Nov 15-20 in Chicago, is the world's largest high-performance computing (HPC) conference held every November. It has served as a venue for unveiling new data center products, with NVIDIA unveiling H200 at SC23 and the GB200 NLV4 at SC24. The key event this year will be a special address by NVIDIA's VP Ian Buck on the morning of Nov 17 (KST), with agentic AI-based scientific research (AI for Science) and exascale systems among the announced topics. We focus on the diversification of AI demand sources. Supercomputer projects led by national laboratories and governments worldwide represent demand executed under budgets separate from Big Tech capex, broadening the AI infrastructure demand base regardless of the Big Tech FCF burden highlighted in October. In particular, because scientific research AI agents involve long-running, multi-step workloads, we believe this aligns closely with our thesis of expanding server CPU and memory demand driven by the spread of agentic AI.

At Microsoft Ignite 2026, held in San Francisco from Nov 17 to 20, and AWS re:Invent 2026 held in Las Vegas from Nov 30 to Dec 4, key points to watch for will be hyperscalers' agentic AI service expansion plans and in-house AI accelerator (ASIC) roadmaps. As FCF burdens were highlighted during October earnings releases, greater clarity on the pace of commercialization pace and monetization models for agent services could help to ease skepticism over AI investment. In addition, since accelerating in-house ASIC development leads to expanding custom HBM demand, this should be positive for Samsung Electronics, which is expanding its market share within the ASIC value chain.

2. Watchpoints in major global tech earnings releases

AMD's (AMD US) 3Q26 earnings, scheduled to be released in the early hours of Nov 4 (KST) will provide an opportunity to assess whether the strong server CPU demand confirmed in Intel's October earnings is an industry-wide phenomenon. The company previously guided for 3Q26 revenue of around $13bn (±$300mn) and GPM of roughly 56%, with market consensus at a similar level. The first watchpoint is shipment visibility for its next-generation AI accelerator MI450 and rack-scale solution "Helios." Since initial shipments started in late-3Q26 and a full-scale ramp-up is scheduled from 4Q26 to 2027, attention will focus on whether AMD reaffirms its shipment schedules to multi-GW anchor customers including Meta, OpenAI, and Anthropic. This would also be positive for domestic memory makers, as it directly translates into expanding HBM4 demand from the non-NVIDIA accelerator camp. The second watchpoint is the growth rate of its server CPU "EPYC." AMD projected that server CPU revenue in 2H26 would increase by over 80% in 2H26 and by over 70% in 2027. The question is whether this guidance is maintained or revised up amid across-the-board supply constraints spanning wafers, packaging, substrates, and HBM. As Intel also cited wafer and substrate supply shortages up to 1H27, supply constraints in the CPU camp are expected to be interpreted as evidence of robust demand driven by the spread of agentic AI. The third watchpoint is memory cost pressure in the gaming and client segments. If the impact of rising memory prices on set demand is confirmed by AMD, following Intel, it may weigh on short-term sentiment, while reaffirming memory suppliers' power to pass on costs to customers.

Applied Materials' (AMAT US) FY4Q26 earnings, to be released in the early hours of Nov 13 (KST), should allow investors to gauge the intensity of the 2027 memory investment cycle and equipment supply conditions. Lam Research (LRCX US), which reported earnings earlier on Oct 21, recorded memory system revenue growth of around 120% YoY (accounting for 46% of system revenue). The company also projected that the WFE market would exceed $200bn (about $150bn in 2026) in 2027, with DRAM leading growth. Nevertheless, its share price fell by more than 10% the next day as earnings only slightly beat consensus and supply constraints limited the upper end of its guidance. This implies that the market's focus was on the timing of supply rather than demand. In AMAT's upcoming earnings, key points to watch for will be: 1) whether its 2027 WFE outlook and comments on DRAM and HBM equipment demand reconfirm Lam Research's projections; 2) the impact of industry-wide supply constraints including cleanroom space and component procurement on shipment schedules; and 3) the pace of decline in China's revenue share. In particular, because supply constraints in the semiconductor equipment industry limit the pace at which memory makers can expand capacity, they can paradoxically be interpreted as a factor reinforcing the memory super squeeze through 2028. At the same time, longer equipment lead times will likely raise order visibility across Korean semiconductor materials, parts, and equipment value chain.

NVIDIA's (NVDA US) FY3Q27 earnings to be released in the early hours of Nov 18 (KST) will likely serve as a watershed moment for the "AI investment skepticism" that spread in October. The company guided for FY3Q27 revenue of $108bn and GPM of 74% (±0.5%p), with market consensus (revenue of around $109bn) slightly above guidance. The first point to watch for is the performance of standalone CPU "Vera." When the company launched Vera as a dedicated CPU for agentic AI, it presented the related market opportunity at $200bn, and adoption is expanding, with Oracle (OCI) planning to deploy hundreds of thousands of Vera CPUs starting in 2026. The fact that a GPU maker has entered the standalone server CPU market proves that expanding CPU demand on the spread of agentic AI is not a temporary phenomenon, but a structural change. Greater clarity on CPU revenue

and client expansion would likely reaffirm the strength of server CPU demand following Intel's DCAI and AMD's EPYC. The second point to watch for will be the pace of the mass production ramp-up for the Vera Rubin platform. The key question is whether NVIDIA can sustain revenue growth without shipment disruptions during the generational transition from Blackwell to Rubin. The third point to watch for will be the sustainability of demand. Key variables will be whether purchase commitments, which surged from $119bn in the prior quarter to $279bn, increase further, as well as the contribution from new demand sources including sovereign AI and neo-clouds amid Big Tech FCF burdens.

Semiconductor sector investment strategy

The October semiconductor market revealed three “divergences” between earnings and share prices, and between investor concerns and actual fundamentals. We expect November to provide opportunities to assess evidence that could resolve these disconnects, and we expect semiconductor sector share prices to find their rightful place as the gaps narrow.

The first divergence is that between share prices and earnings. While SK Hynix shares fell 22.6% in October, its 4Q26E OP (W118.2tn) is expected to beat consensus (W88.4tn) by 34%. OP will also likely almost double in 2027. October’s share price drop was driven by fund flows rather than fundamentals. Liquidations by certain overseas funds, retail redemptions, and outflows of thematic ETFs coincided to trigger selling pressure unrelated to earnings. Once this pressure subsides, large-cap stocks should rebound, with the recovery spreading to materials, parts, and equipment stocks.

The second divergence is between concerns over the end of supply bottlenecks and actual supply conditions. Some market participants argue that memory bottlenecks are entering their final stage and that bottlenecks will shift to other components. However, the October earnings season instead highlighted supply-side constraints. Lam Research stated that some shipments were deferred due to cleanroom space and parts constraints, while Intel and AMD cited wafer and substrate shortages lasting through 1H27. Memory latecomer CXMT saw its 3Q26 revenue growth slow significantly to 19.3% QoQ compared to 2Q26 (95.9%). The shift in bottlenecks should be interpreted not as the resolution of memory bottlenecks, but as their spread across AI infrastructure as a whole.

The third divergence is between doubts over AI profitability and newly emerging sources of demand. Following Meta’s shift into negative FCF, the market’s yardstick for evaluating Big Tech AI investment is shifting from how much firms are spending to whether they can generate commensurate returns. We believe the answer to this question lies in agentic commerce. Meta stated that shopping is the largest use case for its AI agent, “Muse,” and the company is establishing transaction protocols between personal agents alongside Walmart, Stripe, and Shopify. As AI agents connect with external applications in real time and evolve to handle purchasing and booking on behalf of users, always-on inference workloads increase, directly translating into expanding demand for server CPUs and DRAM. Furthermore, over the long-term, we expect a new market to open as consumer devices are increasingly equipped with server-grade DRAM and CPUs as standard.

1. Memory semiconductor: maintain OVERWEIGHT and target prices

For the memory industry, we maintain our overweight rating based on the structural super squeeze set to persist through 2028. Amid limited wafer capacity additions, supply continues to increase through tech migration such as 1cnm, while LTAs centered on major global CSPs are preempting a substantial portion of 2027-2028 volumes. CXMT's 4F²-based DRAM, which triggered concerns in October, is scheduled to launch by year-end, but given the difficulty of securing yields on a new cell structure, we believe mass production on a meaningful level will be very difficult. Moreover, its impact on global memory supply/demand is also likely to be extremely limited. On the demand side as well, LTA customers are requesting spot volumes above their contracted quantities, and with investment entities diversifying into on-premise and sovereign AI, the likelihood that FCF burdens at Big Tech will lead to a slowdown in memory demand is low.

We estimate Samsung Electronics' (005930 KS) 4Q26 revenue at W258.0tn (+174.9% YoY, +32.1% QoQ) and OP at W137.3tn (OPM 53.2%), 18.4% above the one-month market consensus average (OP W116.0tn). This is because, amid expanding server demand for new GPUs and CPUs and bit supply growth driven by higher-than-expected 1nm yield improvement, DRAM and NAND shipments will likely grow by 16% and 14% QoQ, respectively, with ASP also rising by 13% and 14%. We estimate 2027 company-wide OP at W749.7tn (+91.5% YoY). Although 2027 capex will likely increase significantly from W84.2tn in 2026 to W108tn, the firm's next shareholder return policy, to be announced in late-Jan 2027, should provide an additional catalyst, backed by bigger FCF capacity from the memory business. We maintain BUY and our target price of W690,000 (2027E BPS x target P/B 3.5x).

We forecast SK Hynix's (000660 KS) 4Q26 revenue at W147.1tn (+348.1% YoY, +40.6% QoQ) and OP at W118.2tn (OPM 80.4%), far above the one-month market consensus average (OP W88.4tn). With DRAM shipments set to increase by around 26% QoQ on accelerating 1cnm node migration and the M15X ramp-up, we also expect HBM4 to surpass HBM3E both in terms of shipment volume and revenue share. Additional momentum on the shareholder return front is also expected. While the 2026 shareholder return scale (about W100tn) is about one-third of 2026E OP, with 2027E OP projected to nearly double, there is ample room to further expand shareholder returns. We maintain BUY and our target price of W3,700,000 (2027E BPS x target P/B 3.5x).

2. Non-memory and materials, parts and equipment: trickle-down effects of expanding server CPU and memory capex

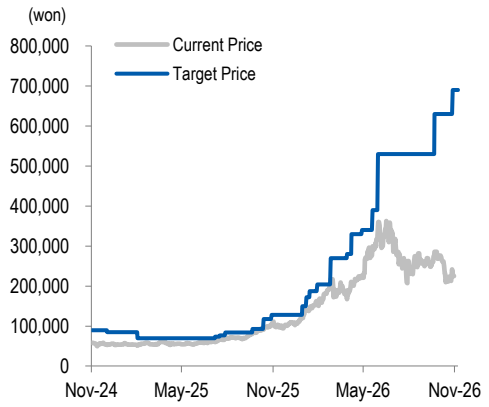
In the non-memory segment, structural expansion in server CPU demand is set to continue. Intel's DCAI revenue grew about 80% YoY in October, the highest in 15 years, and AMD also guided for server CPU revenue growth of over 80% in 2H26 and over 70% in 2027. GPU maker NVIDIA has entered the server CPU market by launching "Vera," a standalone CPU dedicated to agentic AI. The fact that both firms cite wafer and substrate supply constraints lasting through 1H27 implies that the intensity of CPU demand, driven by the spread of agentic AI, is exceeding supply capacity. Such change is positive for future earnings and share prices of Korea's Leeno Industrial (058470 KS) and ISC (095340 KS). CPU demand growth and larger package sizes stimulate demand for more sophisticated semiconductor testing, driving greater OP leverage at both firms over the medium to long term.

For materials, parts, and equipment firms, the trickle-down effects of memory capex expansion should materialize in earnest in 2027. Samsung Electronics' 2027 capex is set to increase by about 28% YoY to W108tn (vs W84.2tn in 2026), and SK Hynix continues to expand capacity, including at its Yongin Fab 1. In particular, with limited scope for wafer capacity expansion, supply growth will increasingly depend on tech migration. As this entails a greater number of process steps, we believe it will structurally increase demand for consumable parts used in the etching processes. We present Hana Materials (166090 KS), on which we resumed coverage on Oct 22, as a key beneficiary. Applied Materials' 2027 WFE outlook, to be released on Nov 13, will likely reaffirm the earnings trajectory of the domestic materials, parts, and equipment value chain.

In the backend processing segment, outsourced backend companies should increasingly benefit from the expansion of bit growth at Samsung Electronics and SK Hynix. Driven by 1cnm node migration and the M15X ramp-up, Samsung Electronics' DRAM shipments in 4Q26 are expected to increase by 16% QoQ and SK Hynix's by around 26%. Meanwhile, HBM's stacked structure involves numerous backend steps and high technical difficulty, prompting memory makers to prioritize HBM in allocating internal backend equipment and operating hours. In particular, as full-fledged HBM4 shipments began from 2H26, Samsung Electronics' HBM4 revenue in 3Q26 more than tripled QoQ, while SK Hynix is expected to see a crossover where HBM4 surpasses HBM3E in shipments and revenue portion in 4Q26. Given the full-scale ramp-up of the Vera Rubin platform in 2027, the concentration of internal backend capacity toward HBM4 will likely intensify further from 4Q26. As conventional DRAM and NAND shipments increase while internal backend capacity is cannibalized, a substantial portion of the increased volume will inevitably be digested through external OSATs. We present APact (200470 KS), which specializes in DRAM testing, as a related beneficiary. We also expect rising SOCAMM2 demand, driven by higher CPU content in agentic AI servers, to support growth in the firm's testing volumes

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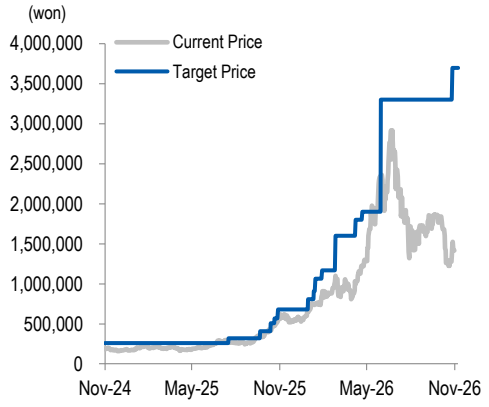
Samsung Electronics (005930 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	690,000	1 yr		
2026/10/29	BUY	690,000	1 yr		
2026/09/23	BUY	630,000	1 yr	-61.71	-56.19
2026/06/01	BUY	530,000	1 yr	-47.30	-31.60
2026/05/21	BUY	390,000	1 yr	-22.31	-18.72
2026/04/30	BUY	340,000	1 yr	-19.46	-12.94
2026/04/09	BUY	330,000	1 yr	-34.51	-31.52
2026/03/31	BUY	280,000	1 yr	-31.29	-24.82
2026/02/26	BUY	270,000	1 yr	-29.83	-19.81
2026/01/08	BUY	172,000	1 yr	-19.23	-18.43

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

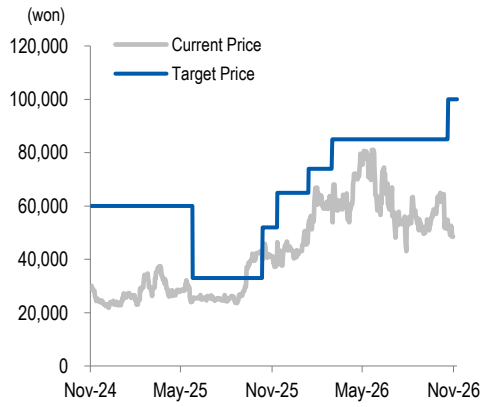
SK Hynix (000660 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	3,700,000	1 yr		
2026/10/28	BUY	3,700,000	1 yr		
2026/06/01	BUY	3,300,000	1 yr	-43.83	-11.55
2026/04/23	BUY	1,900,000	1 yr	-7.58	22.79
2026/04/09	BUY	1,800,000	1 yr	-37.02	-32.00
2026/02/26	BUY	1,600,000	1 yr	-41.55	-33.69
2026/01/29	BUY	1,169,000	1 yr	-22.82	-12.92
2026/01/15	BUY	1,066,000	1 yr	-28.06	-21.11
2026/01/12	BUY	910,000	1 yr	-18.68	-18.46
2025/10/22	BUY	570,000	1 yr	-10.33	-6.14

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Hana Materials (166090 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	100,000	1 yr		
2026/10/22	BUY	100,000	1 yr		
2026/03/03	BUY	85,000	1 yr	-27.92	-4.59
2026/01/15	BUY	74,000	1 yr	-18.26	-9.59
2025/11/13	BUY	65,000	1 yr	-32.19	-20.15
2025/10/14	BUY	52,000	1 yr	-21.36	-11.73
2025/05/27	BUY	33,000	1 yr	-14.06	30.76
2024/08/23	BUY	60,000	1 yr	-52.44	-37.67

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Leeno Industrial (058470 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	Not Rated	-	1 yr		
2026/09/30	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

ISC (095340 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	Not Rated	-	1 yr		
2025/12/31	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

APact (200470 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	Not Rated	-	1 yr		
2026/10/08	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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